Common Venture Capital Ownership and Startup Innovation
Zeyang Xue

Dicussed by Johan Hombert (HEC Paris)

ERC-DICACO Conference on the Causes and Consequences of Common Ownership

Brussels, November 2-3, 2026

Motivation

- 50% of U.S. VC-backed firms have a common VC investors with a competitor
- Corporate Opportunity Waivers (COWs) increased this share (Eldar & Grennan 2024)
- What are the effects on innovation?
- This paper considers two mechanisms: **knowledge facilitation** vs. **knowledge dampening**

Comment 1: What Does the DiD Identify?

- COW has two effects
  1. Common VC ownership increases
  2. Conditional on common ownership, VCs face reduced liability
- The DiD identifies a combination of both effects
  1. **Effect of common ownership** on “compliers” (firms with a common owner due to COW)
  2. **Effect of reduced liability** on “inframarginal firms” (firms with a common owner even without COW)
- Interpretation and policy implications are different
- Is it possible to disentangle one from the other? (more on this later)

Comment 2: Impact on Technological Similarity

- Dependent variable: $TechSim_{it} = \sum_{j \text{ connected to } i} TechSim_{ijt}$
- Reduced-form DiD: $TechSim_{it} = \beta Treat_{it} \times Post_{it} + \ldots$
- How to interpret $\beta > 0$?
  (a) The set of connected firms changes (because VC can now invests in firms with similar technology)
  (b) The firm's technology moves in the direction of connected firms (because VC can now transfer knowledge)
- Suggestion: Hold the set of connected firms fixed to isolate effect (b)

Comment 3: Director Interlocks

- Triple diff: $Patent_{it} = \beta Treat_{it} \times Post_{it} \times Interlock_i + \ldots$
- $Interlock_i$: =1 if a VC director sits on the boards of both firm *i* and a connected firm ***before*** COW adoption

  (=1 even if the connected firm is not in the same industry or technology?)

- $Interlock_i$ is pre-determined $\Rightarrow$ DiD identifies the **effect of reduced VC liability** conditional on director interlocks, not the effect of an increase in director interlock

Comment 3: Director Interlocks

- Triple diff: $Patent_{it} = \beta Treat_{it} \times Post_{it} \times Interlock_i + \ldots$
- $Interlock_i$: =1 if a VC director sits on the boards of both firm *i* and a connected firm ***before*** COW adoption

  (=1 even if the connected firm is not in the same industry or technology?)

- $Interlock_i$ is pre-determined $\Rightarrow$ DiD identifies the **effect of reduced VC liability** conditional on director interlocks, not the effect of an increase in director interlock

$\Rightarrow$ **This suggests a method to separate the effect of common ownership versus the effect of reduced liability**

Back to Identification

$\Rightarrow$ **This suggests a method to separate the effect of common ownership versus the effect of reduced liability**

- E.g., does technological similarity to already-connected firms increase? $\Rightarrow$ Effect of reduced liability

- If the combined effect and the effect of reduced liability are identified, is it possible to estimate the effect of common ownership as the difference between the two?

Comment 4: Welfare / Redistributive Effects

- **Are there winners and losers of common VC ownership among firms?**
  - First-movers versus followers
  - Connections with VCs
- **What are the externalities?**
  - VCs maximize portfolio value, so why would they distort (portfolio-level) innovation?
  - Knowledge transfer as a threat to extract surplus from entrepreneurs?

Comment 4: Welfare / Redistributive Effects

- **Are there winners and losers of common VC ownership among firms?**
  - First-movers versus followers
  - Connections with VCs
- **What are the externalities?**
  - VCs maximize portfolio value, so why would they distort (portfolio-level) innovation?
  - Knowledge transfer as a threat to extract surplus from entrepreneurs?

Very interesting paper! Good luck with the market 